TEACHER GUIDE

Cambridge IGCSE Business (0450 / 0264)

Organisational structure

2 People in business
2.2 Organisation and management: organisational structures



A revision lesson. Pupils run a car dealership in firms of four and revise organisational structure on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Too wide a span

Round 1

Your sales manager leads 15 staff and has no time to coach the new ones.

Which change would help most?

- **A** Widen the span of control further
- **B** Remove the sales manager's post
- **C** Add a team leader for some staff
- **D** Move all decisions to head office

ANSWER

✓ Add a team leader for some staff

Why: A narrower span gives each manager time for each worker.

2 Flatter structure

Round 1

You remove a layer of managers.

Which two effects are most likely?

- **A** More chances of promotion
- **B** Lower management costs
- **C** Closer supervision of staff
- **D** Narrower spans of control
- **E** Messages travel faster

ANSWER

✓ Lower management costs
✓ Messages travel faster

Why: Fewer layers: quicker messages and fewer managers to pay, but wider spans.

3 Chain of command

Round 2

A salesperson's idea goes up the chain of command.

Put the route in order, first to last?

- **A** The managing director
- **B** The branch manager
- **C** The sales team leader
- **D** The salesperson

ANSWER

1. The salesperson
2. The sales team leader
3. The branch manager
4. The managing director

Why: The chain of command runs from the bottom of the structure to the top.

Topic tasks

4 Delayering saving

Round 2

You remove a layer of supervisors.

Net saving a year, after the pay rises?

Supervisors removed	**5 staff**
Pay of each, a year	**£22,500**
Managers given a pay rise	**3 staff**
Pay rise for each manager	**£3,000**

ANSWER

£103,500

5 × £22,500 − 3 × £3,000 = £103,500

Why: Delayering cuts pay costs, but each manager now leads more staff.

5 Who sets prices

Round 3

Head office sets every branch's prices. One branch keeps losing sales to a cheaper local rival.

Who should set this branch's prices, and why?

A The branch manager

B Head office, as now

ANSWER

✓ **The branch manager**

Why: The manager who knows local buyers can react faster.

6 Tall structure

Round 3

Your firm has six layers, and each manager has only three staff.

Which problem is most likely?

A Slow decisions through many layers

B Too few chances of promotion

C Staff given too much freedom

D Managers too busy to supervise

ANSWER

✓ **Slow decisions through many layers**

Why: Narrow spans make a tall structure, so messages pass many people.

Final questions

Each pupil answers 6 final questions on organisational structure. They come from these 10 questions.

1 In a growing dealership, what does delegation mean for a manager and their team?
✔ **A manager passes on authority but stays accountable**

2 The CEO removes a management layer, so six supervisors now report directly to the CEO. What is the likely trade-off?
✔ **Faster communication, lower cost, but a wider CEO span of control**

3 Tall means many levels; flat, few. Worked case: a six-level chain takes a week to decide a branch request. A group cuts two of five levels. Gain and cost?
✔ **Faster decisions, but fewer promotion steps and less supervision**

4 Eight technicians report directly to the service manager, with nobody in between. Which structure feature is this?
✔ **A span of control of eight**

5 A dealer group has six levels from technician to chief executive. Which type of structure is this?
✔ **A tall (hierarchical) structure**

6 What is an advantage of a flat structure for a small dealership?
✔ **Messages pass quickly between staff and the owner**

7 What is a drawback of a tall structure for a national dealer group?
✔ **Decisions take longer to pass down the levels**

8 What does an organisation chart of a dealership show?
✔ **Who reports to whom in the business**

9 A dealer group removes its layer of regional managers. What is the most likely effect?
✔ **Branch managers report straight to head office**

10 An organisation chart shows a chief executive, 3 managers under her and 5 staff under each manager. How many people are on the chart?
✔ **19 people**